



MINDTECK SINGAPORE PTE LTD

Co. Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

FINANCIAL STATEMENTS

For the financial year ended 31 March 2018



Kudos CAS Public Accounting Corporation

Public Accountants and Chartered Accountants

MINDTECK SINGAPORE PTE LTD

Co Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

GENERAL INFORMATION*For the financial year ended 31 March 2018*

Director

Jacob Pillay

Secretary

Tan Ah Long (Appointed on 30 October 2017)

Ong Woon Pheng (Resigned on 30 October 2017)

Registered Office7B Keppel Road
#05-09 Tanjong Pagar Complex
Singapore 089055**Auditors**

Kudos CAS Public Accounting Corporation

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MINDTECK SINGAPORE PTE LTD

Co Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

DIRECTOR'S STATEMENT

For the financial year ended 31 March 2018

The director is pleased to present his statement to the member together with the audited financial statements of Mindteck Singapore Pte Ltd (the "Company") for the financial year ended 31 March 2018.

Opinion of the director

In the opinion of the director,

- (i) the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 March 2018 and the financial performance, changes in equity and cash flows of the Company for the year ended on that date; and
- (ii) at the date of this statement there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

Director

The Director of the Company in office at the date of this statement is Jacob Pillay.

Arrangements to enable director to acquire shares and debentures

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose objects are, or one of whose objects is, to enable the director of the Company to acquire benefits by means of the acquisition of shares or debentures of the Company or any other corporate body.

Director's interests in shares and debentures

According to the register of director's shareholdings, required to be kept under section 164 of the Singapore Companies Act, Chapter 50 (the "Act"), no director who held office at the end of the financial year had interests in the shares, share options, warrants or debentures of the Company and its related corporations, either at the beginning of the financial year or at the end of the financial year.

Share options

There were no share options granted during the financial year to subscribe for unissued shares of the Company.

There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial year.

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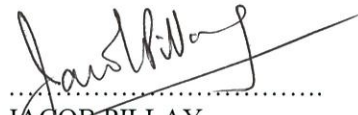
DIRECTOR'S STATEMENT

For the financial year ended 31 March 2018

Auditors

Kudos CAS Public Accounting Corporation have expressed their willingness to accept reappointment as auditor.

The Director,


.....
JACOB PILLAY
Director

Singapore

Date: 13 July 2018



Kudos CAS Public Accounting Corporation
UEN No. 201500907H

143 Cecil Street #19-03/04 GB Building, Singapore 069542
Tel: (+65) 6225 5515 | Fax (+65) 6221 1550

**INDEPENDENT AUDITOR'S REPORT TO THE MEMBER OF
MINDTECK SINGAPORE PTE LTD
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2018**
Co Reg No.: 199904845D

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **Mindteck Singapore Pte Ltd** (the "Company"), which comprise the statement of financial position as at 31 March 2018, the statement of profit or loss and other comprehensive income, the statement of changes in equity and statement of cash flows of the Company for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company are properly drawn up in accordance with the provisions of the Companies Act, Chapter 50 (the Act) and Financial Reporting Standards in Singapore (FRSs) so as to give a true and fair view of the financial position of the Company as at 31 March 2018 and of the financial performance, changes in equity and cash flows of the Company for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with Singapore Standards on Auditing (SSAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority (ACRA) Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities (ACRA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Information

Management is responsible for other information. The other information comprises the director's statement.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.



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**INDEPENDENT AUDITOR'S REPORT TO THE MEMBER OF
MINDTECK SINGAPORE PTE LTD
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2018**
Co Reg No.: 199904845D

Responsibilities of Management and Director for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Act and FRSSs, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The director's responsibilities include overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

Kudos CAS Public Accounting Corporation is an independent member of Kudos International Network

**INDEPENDENT AUDITOR'S REPORT TO THE MEMBER OF
MINDTECK SINGAPORE PTE LTD
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2018**
Co Reg No.: 199904845D

Auditor's Responsibilities for the Audit of the Financial Statements (continued)

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the director regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.



KUDOS CAS PUBLIC ACCOUNTING CORPORATION
Public Accountants and
Chartered Accountants

Singapore

Date: 13 July 2018

MINDTECK SINGAPORE PTE LTD

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(Incorporated in the Republic of Singapore)

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME*For the financial year ended 31 March 2018*

	Note	2018 \$	2017 \$
Revenue	4	5,871,848	4,008,674
Cost of services	5	(4,642,911)	(3,160,588)
Gross profit		1,228,937	848,086
Other operating income		45,652	7,904
Administrative expenses		(895,368)	(606,261)
Other operating expenses		(3,685)	(3,640)
Profit before income tax	6	375,536	246,089
Income tax expense	8(a)	(36,125)	-
Profit for the year, representing comprehensive income for the year		339,411	246,089

The accompanying notes form an integral part of these financial statements.

MINDTECK SINGAPORE PTE LTD

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STATEMENT OF FINANCIAL POSITION*As at 31 March 2018*

	Note	2018 \$	2017 \$
ASSETS			
Non-current assets			
Goodwill	9	534,583	534,583
Plant and equipment	10	8,647	10,632
Investment in subsidiary	11	51,742	170,813
		<u>594,972</u>	<u>716,028</u>
Current assets			
Trade and other receivables	12	1,867,806	1,100,848
Prepayment		5,019	22,833
Amount due from related parties	15	256,451	425,209
Cash and cash equivalents	13	218,411	240,452
		<u>2,347,687</u>	<u>1,789,342</u>
Total assets		<u>2,942,659</u>	<u>2,505,370</u>
LIABILITIES			
Current liabilities			
Other payables and accruals	14	605,797	550,381
Amount due to related parties	15	220,948	231,936
Gross amount due to customers for contract work-in-progress	16	18,519	-
Provision for income tax	8(b)	34,931	-
		<u>880,195</u>	<u>782,317</u>
Total liabilities		<u>880,195</u>	<u>782,317</u>
Net assets		<u>2,062,464</u>	<u>1,723,053</u>
EQUITY			
Capital and reserves attributable to Equity holders of the Company			
Share capital	17	1,310,500	1,310,500
Retained earnings		751,964	412,553
		<u>2,062,464</u>	<u>1,723,053</u>

The accompanying notes form an integral part of these financial statements.

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STATEMENT OF CHANGES IN EQUITY*For the financial year ended 31 March 2018*

	Share capital \$	Retained earnings \$	Total \$
Balance as at 1 April 2016	1,310,500	166,464	1,476,964
Profit after income tax	—	246,089	246,089
Other comprehensive income for the year	—	—	—
Total comprehensive income for the year	—	246,089	246,089
Balance as at 31 March 2017	1,310,500	412,553	1,723,053
Profit after income tax	—	339,411	339,411
Other comprehensive income for the year	—	—	—
Total comprehensive income for the year	—	339,411	339,411
Balance as at 31 March 2018	1,310,500	751,964	2,062,464

The accompanying notes form an integral part of these financial statements.

MINDTECK SINGAPORE PTE LTD

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STATEMENT OF CASH FLOWS*For the financial year ended 31 March 2018*

	2018	2017
	\$	\$
Cash flows from operating activities		
Profit before income tax	375,536	246,089
Adjustments for:		
Depreciation of plant and equipment	3,685	3,640
Impairment of investment in subsidiary	119,071	118,087
Operating cash flows before working capital changes	498,292	367,816
Changes in working capital:		
Trade and other receivables	(766,959)	(463,725)
Prepayments	17,814	(8,684)
Amount due from related parties	168,758	(105,519)
Other payables and accruals	55,416	184,891
Amount due to related parties	(10,988)	(2,547)
Gross amount due to customers for contract work-in-progress	18,519	-
Cash used in operations	(19,148)	(27,768)
Income tax paid	(1,193)	-
Net cash used in operating activities	(20,341)	(27,768)
Cash flows from investing activities		
Purchase of plant and equipment	(1,700)	(11,909)
Net cash used in investing activities	(1,700)	(11,909)
Net decrease in cash and cash equivalents	(22,041)	(39,677)
Cash and cash equivalents at the beginning of the year	240,452	280,129
Cash and cash equivalents at the end of the year	13 <u>218,411</u>	<u>240,452</u>

The accompanying notes form an integral part of these financial statements.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial ended 31 March 2018*

These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

1. Corporate Information

Mindteck Singapore Pte Ltd (the “Company”) is incorporated and domiciled as a limited liability company in Singapore. The Company's immediate and ultimate holding company is Mindteck (India) Limited, a company domiciled and incorporated in India.

The registered office and principal place of business is located at 7B Keppel Road #05-09, Tanjong Pagar Complex, Singapore 089055.

The principal activities of the Company are those of software development and consultancy services and the provision of contract information technology professionals. The principal activity of the subsidiary is disclosed in Note 11 to the financial statement. There have been no significant changes in the nature of these activities during the financial year.

These financial statements are separate financial statements of the Company. The Company is exempted from the preparation of consolidated financial statements as the Company is a wholly-owned subsidiary of Mindteck (India) Limited, a company incorporated in India, which prepares the consolidated financial statements and has its registered office at, 16/3, Cambridge Road, Ulsoor Bangalore 560 008, Karnataka, India. The consolidated financial statements are obtainable at the registered office.

2. Summary of significant accounting policies**2.1 Basis of preparation**

The financial statements of the Company have been prepared in accordance with Singapore Financial Reporting Standards (“FRS”).

The financial statements have been prepared on the historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in Singapore Dollars (“\$”), which is also the Company’s functional currency.

2.2 Changes in accounting policies

The accounting policies adopted are consistent with those of the previous financial year except in the current financial year, the Company has adopted all the new and revised standards which are effective for annual financial periods beginning on or after 1 April 2017. The adoption of these standards did not have any effect on the financial performance or position of the Company.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018*

2. Summary of significant accounting policies (continued)**2.3 Standards issued but not yet effective**

The Company has not adopted the following standards applicable to the Company that have been issued but not yet effective:

<i>Description</i>	<i>Effective for annual periods beginning on or after</i>
FRS 109 Financial Instruments	1 January 2018
FRS 116 Leases	1 January 2019

Except for FRS 109, the director expects that the adoption of the other standards above will have no material impact on the financial statements in the period of initial application. The nature of the impending changes in accounting policy on adoption of FRS 109 is described below.

FRS 109 Financial Instruments

FRS 109 introduces new requirements for classification and measurement of financial assets, impairment of financial assets and hedge accounting, and is effective for annual periods beginning on or after 1 January 2018. Financial assets are classified according to their contractual cash flow characteristics and the business model under which they are held. The impairment requirements in FRS 109 are based on an expected credit loss model and replace the FRS 39 incurred loss model.

The Company plans to adopt the new standard on the required effective date without restating prior periods' information and recognises any difference between the previous carrying amount and the carrying amount at the beginning of the annual reporting period at the date of initial application in the opening retained earnings.

The Company has performed a preliminary impact assessment of adopting FRS 109 based on currently available information. This assessment may be subject to changes arising from ongoing analysis, until the Company adopts FRS 109 in 2018.

(a) Classification and measurement

The Company's debt instruments are expected to give rise to cash flow representing solely payments of principal and interest. The Company expects to have mixed business model. The Company intends to hold its currently held-to-maturity debt instruments assets to collect contractual cash flows, and accordingly measured at amortised cost when it applies FRS109.

(b) Impairment

FRS 109 requires the Company to record expected credit losses on all of its loans and trade receivables, either on a 12-month or lifetime basis. The Company expects to apply the simplified approach and record lifetime expected losses on all trade receivables.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018*

2. Summary of significant accounting policies (continued)**2.4 Foreign currency**

The financial statements are presented in Singapore Dollars, which is also the Company's functional currency.

a) Transactions and balances

Transactions in foreign currencies are measured in the functional currencies of the Company and are recorded on initial recognition in the functional currencies at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the end of the reporting period. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was measured.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in profit or loss.

2.5 Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured, regardless of when the payment is made. Revenue is measured at the fair value of consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty.

Revenue from the rendering of services is recognised when the services are rendered.

2.6 Plant and equipment

All items of plant and equipment are initially recorded at cost. Subsequent to recognition, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is computed on a straight line basis over the estimated useful lives of the assets as follows :

	<u>Estimated useful lives</u>
Computer	3 years
Furniture and fittings	5 years
Office equipment	5 years
Office renovation	2 years

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018*

2. Summary of significant accounting policies (continued)**2.6 Plant and equipment (continued)**

The carrying values of plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

The residual value, useful life and depreciation method are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss on derecognition of the asset is included in profit or loss in the year the asset is derecognised.

2.7 Intangible assets

Intangible assets acquired separately are measured initially at cost. Following initial acquisition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses. Internally generated intangible assets, excluding capitalised development costs, are not capitalised and expenditure is reflected in profit or loss in the year in which the expenditure is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite.

Intangible assets with finite useful lives are amortised over the estimated useful lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates.

Intangible assets with indefinite useful lives or not yet available for use are tested for impairment annually, or more frequently if the events and circumstances indicate that the carrying value may be impaired either individually or at the cash-generating unit level. Such intangible assets are not amortised. The useful life of an intangible asset with an indefinite useful life is reviewed annually to determine whether the useful life assessment continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in profit or loss when the asset is derecognised.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018*

2. Summary of significant accounting policies (continued)**2.8 Impairment of non-financial assets**

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when an annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses of continuing operations are recognised in profit or loss, except for assets that are previously revalued where the revaluation was taken to other comprehensive income. In this case, the impairment is also recognised in other comprehensive income up to the amount of any previous revaluation.

A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss unless the asset is measured at revalued amount, in which case the reversal is treated as a revaluation increase.

2.9 Investment in subsidiaries

Investment in subsidiaries is carried at cost less accumulated impairment losses in the Company's balance sheet. On the disposal of such investment, the difference between disposal proceeds and the carrying amounts of the investment is recognised in profit or loss.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018*

2. Summary of significant accounting policies (continued)**2.10 Financial instruments****a) Financial assets***Initial recognition and measurement*

Financial assets are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial assets at initial recognition.

When financial assets are recognised initially, they are measured at fair value, plus, in the case of financial assets not at fair value through profit or loss, directly attributable transaction costs.

Subsequent measurement

The subsequent measurement of financial assets depends on their classification as follows:

i) *Loans and receivables*

Non-derivative financial assets with fixed or determinable payments that are not quoted in an active market are classified as loans and receivables. Subsequent to initial recognition, loans and receivables are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the loans and receivables are derecognised or impaired, and through the amortisation process.

ii) *Available-for-sale financial assets*

Available-for-sale financial assets include equity and debt securities. Equity investments classified as available-for-sale are those, which are neither classified as held for trading nor designated at fair value through profit or loss. Debt securities in this category are those which are intended to be held for an indefinite period of time and which may be sold in response to needs for liquidity or in response to changes in the market conditions.

After initial recognition, available-for-sale financial assets are subsequently measured at fair value. Any gains or losses from changes in fair value of the financial assets are recognised in other comprehensive income, except that impairment losses, foreign exchange gains and losses on monetary instruments and interest calculated using the effective interest method are recognised in profit or loss. The cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment when the financial asset is de-recognised.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018*

2. Summary of significant accounting policies (continued)**2.10 Financial instruments (continued)****a) Financial assets (continued)***iii) Financial assets at fair value through profit or loss*

Financial assets at fair value through profit or loss include financial assets held for trading. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. This category includes derivative financial instruments entered into by the Company. Derivatives, including separated embedded derivatives are also classified as held for trading.

Subsequent to initial recognition, financial assets at fair value through profit or loss are measured at fair value. Any gains or losses arising from changes in fair value of the financial assets are recognised in profit or loss. Net gains or net losses on financial assets at fair value through profit or loss include exchange differences, interest and dividend income.

Derivatives embedded in host contracts are accounted for as separate derivatives and recorded at fair value if their economic characteristics and risks are not closely related to those of the host contracts and the host contracts are not measured at fair value with changes in fair value recognised in profit or loss. These embedded derivatives are measured at fair value with changes in fair value recognised in profit or loss. Reassessment only occurs if there is a change in the terms of the contract that significantly modifies the cash flows that would otherwise be required.

iv) Held-to-maturity investments

Non-derivative financial assets with fixed or determinable payments and fixed maturity are classified as held-to-maturity when the Company has the positive intention and ability to hold the investment to maturity. Subsequent to initial recognition, held-to-maturity investments are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the held-to-maturity investments are derecognised or impaired, and through the amortisation process.

Investments in equity instruments whose fair value cannot be reliably measured are measured at cost less impairment loss.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018*

2. Summary of significant accounting policies (continued)**2.10 Financial instruments (continued)****a) Financial assets (continued)***De-recognition*

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On de-recognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

b) Financial liabilities*Initial recognition and measurement*

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at fair value through profit or loss, directly attributable transaction costs.

Subsequent measurement

After initial recognition, financial liabilities that are not carried at fair value through profit or loss are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

De-recognition

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in profit or loss.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018*

2. Summary of significant accounting policies (continued)**2.11 Impairment of financial assets**

The Company assesses at each reporting date whether there is any objective evidence that a financial asset is impaired.

a) Financial assets carried at amortised cost

For financial assets carried at amortised cost, the Company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the Company determines that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be recognised are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss on financial assets carried at amortised cost has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account. The impairment loss is recognised in profit or loss.

When the asset becomes uncollectible, the carrying amount of impaired financial asset is reduced directly or if an amount was charged to the allowance account, the amounts charged to the allowance account are written off against the carrying value of the financial asset.

To determine whether there is objective evidence that an impairment loss on financial assets has been incurred, the Company considers factors such as the probability of insolvency or significant financial difficulties of the debtor and default or significant delay in payments.

If in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed to the extent that the carrying amount of the asset does not exceed its amortised cost at the reversal date. The amount of reversal is recognised in profit or loss.

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2. Summary of significant accounting policies (continued)**2.11 Impairment of assets (continued)****b) Financial assets carried at cost**

If there is objective evidence (such as significant adverse changes in the business environment where the issuer operates, probability of insolvency or significant financial difficulties of the issuer) that an impairment loss on financial assets carried at cost had been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses are not reversed in subsequent periods.

c) Available-for-sale financial assets

In the case of equity investments classified as available-for-sale, objective evidence of impairment include (i) significant financial difficulty of the issuer or obligor, (ii) information about significant changes with an adverse effect that have taken place in the technological, market, economic or legal environment in which the issuer operates, and indicates that the cost of the investment in equity instrument may not be recovered; and (iii) a significant or prolonged decline in the fair value of the investment below its costs.

If an available-for-sale financial asset is impaired, an amount comprising the difference between its acquisition cost (net of any principal repayment and amortisation) and its current fair value, less any impairment loss previously recognised in profit or loss, is transferred from other comprehensive income and recognised in profit or loss. Reversals of impairment losses in respect of equity instruments are not recognised in profit or loss; increase in their fair value after impairment are recognised directly in other comprehensive income.

In the case of debt instruments classified as available-for-sale, impairment is assessed based on the same criteria as financial assets carried at amortised cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in profit or loss. Future interest income continues to be accrued based on the reduced carrying amount of the asset, using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of finance income. If, in a subsequent year, the fair value of a debt instrument increases and the increases can be objectively related to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed in profit or loss.

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2. Summary of significant accounting policies (continued)**2.12 Cash and cash equivalents**

Cash and cash equivalents comprise cash at bank and on hand and deposits with financial institutions which are subject to an insignificant risk of change in value. For cash subjected to restriction, assessment is made on the economic substance of the restriction and whether they meet the definition of cash and cash equivalents.

2.13 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2.14 Consultancy contracts

The Company principally operates fixed price contracts. Contract revenue and contract costs are recognised as revenue and expenses respectively by reference to the stage of completion of the contract activity at the end of the reporting period (the percentage of completion method), when the outcome of a consultancy contract can be estimated reliably.

When the outcome of a consultancy contract cannot be estimated reliably (principally during early stages of a contract), contract revenue is recognised only to the extent of contract costs incurred that are likely to be recoverable and contract costs are recognised as expense in the period in which they are incurred.

An expected loss on the consultancy contract is recognised as an expense immediately when it is probable that total contract costs will exceed total contract revenue.

In applying the percentage of completion method, revenue recognised corresponds to the total contract revenue multiplied by the actual completion rate based on the proportion of total contract costs incurred to date and the estimated costs to complete.

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2. Summary of significant accounting policies (continued)**2.15 Government grants**

Government grants are recognised when there is reasonable assurance that the grant will be received and all attaching conditions will be complied with.

Government grant shall be recognised in profit or loss on a systematic basis over the periods in which the entity recognises as expenses the related costs for which the grants are intended to compensate. Grants related to income may be presented as a credit in profit or loss, either separately or under a general heading such as "Other income". Alternatively, they are deducted in reporting the related expenses.

2.16 Leases

Finance leases which transfer to the Company substantially all the risks and rewards incidental to ownership of the leased item, are capitalised at the inception of the lease at the fair value of the leased asset or, if lower, at the present value of the minimum lease payments. Any initial direct costs are also added to the amount capitalised. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged to profit or loss.

Contingent rents, if any, are charged as expenses in the periods in which they are incurred.

Capitalised leased assets are depreciated over the shorter of the estimated useful life of the asset and the lease term, if there is no reasonable certainty that the Company will obtain ownership by the end of the lease term.

Operating lease payments are recognised as an expense in profit or loss on a straight-line basis over the lease term. The aggregate benefit of incentives provided by the lessor is recognised as a reduction of rental expense over the lease term on a straight-line basis.

2.17 Employee benefits**a) Defined contribution plans**

The Company participates in the national pension schemes as defined by the laws of the countries in which it has operations. In particular, the Company make contributions to the Central Provident Fund scheme in Singapore, a defined contribution pension scheme. Contributions to defined contribution pension schemes are recognised as an expense in the period in which the related service is performed.

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2. Summary of significant accounting policies (continued)**2.17 Employee benefits (continued)****b) Employee leave**

Employee entitlements to annual leave are recognised as a liability when they are accrued to the employees. The undiscounted liability for leave expected to be settled wholly before twelve months after the end of the reporting period is recognised for services rendered by employees up to the end of the reporting period. The liability for leave expected to be settled beyond twelve months from the end of the reporting period is determined using the projected unit credit method. The net total of service costs, net interest on the liability and remeasurement of the liability are recognised in profit or loss.

2.18 Taxes**a) Current income tax**

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the end of the reporting period, in the countries where the Company operates and generates taxable income.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

b) Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of the reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognised for all temporary differences, except:

- Where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

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2. Summary of significant accounting policies (continued)**2.18 Taxes (continued)****b) Deferred tax (continued)**

Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at the end of each reporting period and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the end of each reporting period.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity and deferred tax arising from a business combination is adjusted against goodwill on acquisition.

2.19 Share capital

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

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2. Summary of significant accounting policies (continued)**2.20 Contingencies**

A contingent liability is:

- a) a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- b) a present obligation that arises from past events but is not recognised because:
 - i) it is not probable that an outflow of resources embodying amount benefits will be required to settle the obligation; or
 - ii) the amount of the obligation cannot be measured with sufficient reliability.

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company.

Contingent liabilities and assets are not recognised on the balance sheet of the Company, except for contingent liabilities assumed in a business combination that are present obligations and which the fair values can be reliably determined.

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3. Significant accounting judgements and estimates

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in the future periods.

3.1 Judgments made in applying accounting policies

In the process of applying the Company's accounting policies, management has made the following judgements which have the most significant effect on the amounts recognised in the financial statements:

a) Income tax

The Company has exposure to income taxes. Significant judgement is involved in determining the provision for income taxes. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Company recognises liabilities for expected tax issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

3.2 Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

a) Impairment of non-financial assets

The Company assesses at each balance sheet date whether there are any indicators of impairment for all non financial assets.

Determining whether the carrying values of plant and equipment, goodwill and investment in subsidiary company are impaired requires an estimation of the value-in-use of the asset or the cash generating units ("CGU"). This requires the Company to estimate the future cash flows expected from the asset or the CGU and an appropriate discount rate in order to calculate the present value of the future cash flows.

The carrying amounts of plant and equipment, goodwill and investment in subsidiary company at the balance sheet date are disclosed in Notes 9, 10 and 11 respectively.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018***4. Revenue**

	2018	2017
	\$	\$
Income from consultancy services	<u>5,871,848</u>	<u>4,008,674</u>

5. Cost of services

	2018	2017
	\$	\$
Consultancy charges	410,346	582,782
Consultants' salaries and CPF	4,151,639	2,514,615
Project supplies	80,926	11,580
Others	-	51,611
	<u>4,642,911</u>	<u>3,160,588</u>

6. Profit before income tax

Profit before income tax is determined after charging the following:

	2018	2017
	\$	\$
Telephone expense	22,585	18,302
Depreciation of plant and equipment (Note 10)	3,685	3,640
Director's remuneration and CPF (Note 18(b))	188,946	89,387
Loss on foreign exchange	24,339	12,444
Impairment of investment in subsidiary (Note 11)	119,071	118,087
Office rental	<u>39,272</u>	<u>38,621</u>

7. Employee benefits

	2018	2017
	\$	\$
Employees' salaries and bonuses	238,654	148,970
Employer's CPF on employees' salaries and bonuses	20,458	11,921
Director's remuneration	179,586	84,119
Employer's CPF on director's remuneration	9,360	5,268
	<u>448,058</u>	<u>250,278</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018***8. Income tax**

(a) Income tax expense

The income tax on the result varies from the amount of income tax determined by applying the standard rate of taxation to profit before tax due to the following factors: -

	2018 \$	2017 \$
Profit before income tax	<u>375,536</u>	<u>246,089</u>
Tax calculated at tax rate of 17%	63,841	41,835
Income not subject to tax	(1,314)	(68)
Non-deductible expenses	20,800	20,128
Tax effect on Productivity and Innovation Scheme	-	(3,944)
Tax effect on partial exemption and rebate	(34,657)	(5,674)
Utilisation of deferred tax assets previously not recognised	(13,738)	(46,284)
Deferred tax expense relating to the origination and reversal of temporary differences	-	(2,777)
Underprovision in prior year	1,193	-
Others	-	(3,216)
Taxation recognised in the income statement	<u>36,125</u>	<u>-</u>

(b) Provision for income tax

	2018 \$	2017 \$
At 1 April	-	-
Provision during the year	34,931	-
Underprovision in prior year	1,193	-
Tax paid during the year	(1,193)	-
At 31 March	<u>34,931</u>	<u>-</u>

9. Goodwill

	2018 \$	2017 \$
At 1 April	534,583	534,583
Additions	-	-
At 31 March	<u>534,583</u>	<u>534,583</u>

Goodwill acquired through a business combination is allocated, at acquisition, to the cash generating units ("CGU") that are expected to benefit from the business combination.

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9. Goodwill (continued)

Goodwill is not amortised but is reviewed for impairment annually.

The carrying amount of a CGU is established by allocating assets and liabilities to the identified CGU as below:

	2018	2017
	\$	\$
Goodwill	534,583	534,583
Net assets and liabilities attributable to the CGU	1,178,171	673,495
Carrying amount of CGU	<u>1,712,754</u>	<u>1,208,078</u>

The recoverable amount of the CGU have been determined based on value in use calculations using cash flow projections from financial budgets approved by management covering a five-year period. As the recoverable amount is more than its carrying value, no impairment of the goodwill is recognised.

Key assumptions used in the value in use calculations

Budgeted gross margins – Gross margins are based on average values achieved in the five years preceding the start of the budget period, consistent over the budgeted period.

Growth rates – The forecasted 4.00% per annum terminal growth rates are within the range of Singapore's forecasted GDP growth (nominal) range from 3.5% to 4.1% per year as well as the industry growth range from 4.9% to 7.3% per year.

Discount rates – Discount rates of 15.88% represent the current market assessment of the risks specific to each CGU, regarding the time value of money and individual risks of the underlying assets which have not been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the Company and its operating segments and derived from its weighted average cost of capital (WACC). The WACC takes into account both debt and equity.

The cost of equity is derived from the Modified Capital Assets Pricing Model ("CAPM") to estimate the cost of equity.

Sensitivity to changes in assumptions

With regards to the assessment of value in use, Management believes that no reasonably possible changes in any of the above key assumptions would cause the carrying value of the unit to materially exceed its recoverable amount.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018***10. Plant and equipment**

	As at 1.4.2017	Additions	As at 31.3.2018
2018	\$	\$	\$
Cost			
Furniture and fittings	6,744	-	6,744
Office equipment	21,510	-	21,510
Renovation	26,415	-	26,415
Computers	167,487	1,700	169,187
	222,156	1,700	223,856

	As at 1.4.2017	Charge for the year	As at 31.3.2018
2018	\$	\$	\$
Accumulated depreciation			
Furniture and fittings	6,283	112	6,395
Office equipment	12,124	2,321	14,445
Renovation	26,415	-	26,415
Computers	166,702	1,252	167,954
	211,524	3,685	215,209

	As at 1.4.2016	Additions	As at 31.3.2017
2017	\$	\$	\$
Cost			
Furniture and fittings	6,280	464	6,744
Office equipment	11,010	10,500	21,510
Renovation	26,415	-	26,415
Computers	166,542	945	167,487
	210,247	11,909	222,156

	As at 1.4.2016	Charge for the year	As at 31.3.2017
2017	\$	\$	\$
Accumulated depreciation			
Furniture and fittings	6,186	97	6,283
Office equipment	9,927	2,197	12,124
Renovation	26,415	-	26,415
Computers	165,356	1,346	166,702
	207,884	3,640	211,524

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018***10. Plant and equipment (continued)**

	2018	2017
	\$	\$
Net carrying amount		
Furniture and fittings	349	461
Office equipment	7,065	9,386
Renovation	-	-
Computers	1,233	785
	<u>8,647</u>	<u>10,632</u>

11. Investment in subsidiary

	2018	2017
	\$	\$
Shares, at cost	288,900	288,900
Impairment of investment in subsidiary	<u>(237,158)</u>	<u>(118,087)</u>
	51,742	170,813
Impairment loss of investment in subsidiary (Note 6)	<u>119,071</u>	<u>118,087</u>

<u>Name of subsidiary</u>	<u>Principal activities</u>	<u>Proportion of ownership</u>	
<u>Held by the Company</u>		<u>2018</u>	<u>2017</u>
Mindteck Solutions Philippines, Inc. ¹ (Incorporated in Philippines)	Hardware and software development and IT consultancy	100%	100%

¹ Unaudited.**12. Trade and other receivables**

	2018	2017
	\$	\$
Trade receivables - third parties	1,732,897	1,073,812
Less: Allowance for doubtful debts	<u>(5,093)</u>	<u>(8,389)</u>
	1,727,804	1,065,423
Other receivables	128,833	24,256
Deposits	11,169	11,169
	<u>1,867,806</u>	<u>1,100,848</u>

Trade receivables are non-interest bearing and are generally on 30 to 90 days' terms. They are recognised at their original invoice amounts which represent their fair values on initial recognition.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018***12. Trade and other receivables (continued)**

The carrying amounts of the trade and other receivables approximate their fair value and denominated in Singapore Dollars.

Receivables that are past due but not impaired:

The Company has trade receivables amounting to \$558,005 (2017: \$172,024) that are past due at the statement of financial position date but not impaired. These receivables are unsecured and the analysis of their aging at the statement of financial position date is as follows:-

	2018 \$	2017 \$
Trade receivables not past due:-		
Less than 30 days	1,169,799	893,399
Trade receivables past due:-		
1 – 30 days	378,053	161,273
31 – 60 days	76,040	-
61 – 90 days	38,475	5,656
More than 90 days	65,437	5,095
	<u>558,005</u>	<u>172,024</u>
Total	<u>1,727,804</u>	<u>1,065,423</u>

Receivables that are impaired:

The Company's trade receivables that are impaired at the statement of financial position date and the movement of the allowance accounts used to record the impairment are as follows:

	2018 \$	2017 \$
At 1 April	8,389	8,389
Allowance during the year	5,093	-
Written off during the year	(8,389)	-
At 31 March	<u>5,093</u>	<u>8,389</u>

Trade receivables that are individually determined to be impaired at the statement of financial position date relate to receivables that are in significant financial difficulties and have defaulted on payments. These receivables are not secured by any collateral or credit enhancements.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018***13. Cash and cash equivalents**

	2018 \$	2017 \$
Cash in hand	1,618	2,381
Cash at bank	216,793	238,071
	<u>218,411</u>	<u>240,452</u>

The carrying amounts of the cash and cash equivalents approximate their fair value. Cash and cash equivalents is denominated in Singapore Dollar.

14. Other payables and accruals

	2018 \$	2017 \$
Other payables – third parties	30,350	40,187
GST payables	96,739	87,401
Accrued expenses	478,708	422,793
	<u>605,797</u>	<u>550,381</u>

The carrying amounts of the other payables approximate their fair values and are denominated in Singapore Dollars.

15. Amount due from / (to) related parties

Amount due from / (to) related parties are non-trade related, unsecured, non-interest bearing and repayable upon demand.

The carrying amounts of amount due from / (to) related parties approximate their fair values and are denominated in the following currencies:-

	2018 \$	2017 \$
Amount due from related parties		
Singapore dollar	116,499	304,265
US dollar	135,700	120,944
Euro dollar	4,252	-
	<u>256,451</u>	<u>425,209</u>
 Amount due to related parties	 2018 \$	 2017 \$
Singapore dollar	177,302	188,290
US dollar	41,224	41,224
Euro dollar	2,422	2,422
	<u>220,948</u>	<u>231,936</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018***16. Gross amount due to customers for contract work-in-progress**

	2018	2017
	\$	\$
Aggregate costs incurred	34,565	-
Attributable profit recognised	39,226	-
	<u>73,791</u>	<u>-</u>
Progressive billings	(92,310)	-
	<u>18,519</u>	<u>-</u>

17. Issued and paid up capital

	2018	2017
	\$	\$
Issued and fully paid	<u>1,310,500</u>	<u>1,310,500</u>

The holder of ordinary shares are entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions. There is no par value for these ordinary shares.

18. Significant transactions with related parties**(a) Related parties transactions**

During the financial year, the company had related party transactions on terms agreed among the parties as follows:-

	2018	2017
	\$	\$
Fees paid or payable to the Company	1,163,233	829,422
Fees paid or payable to related parties	<u>(271,979)</u>	<u>(663,962)</u>

(b) Compensation of key management personnel

	2018	2017
	\$	\$
Director's remuneration	179,586	84,119
Director's CPF	9,360	5,268
	<u>188,946</u>	<u>89,387</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018***19. Operating lease commitments**

The future minimum lease payable under non-cancellable operating leases contracted for at the statement of financial position date but not recognised as liabilities, are as follows:-

	2018 \$	2017 \$
Within one year	19,473	38,947
Within two to five years	-	19,473
	<u>19,473</u>	<u>58,420</u>

20. Capital management

The primary objective of the Company's capital management is to ensure that the company will be able to continue as a going concern. The capital structure of the Company comprises share capital, retained earnings and advances from related parties.

The Company does not actively manage its capital structure but will make adjustments to it as and when necessary. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders, issue new shares or other financial instruments, request advances from shareholders and directors or repay such advances.

The Company's objectives, policies or processes in managing its capital remain unchanged from the previous financial year. The Company is not subject to any externally imposed capital requirement. The Company monitors capital using a gearing ratio, which is net debt divided by total capital plus net debt. The Company includes within net debt, other payables, accruals and amount due to related parties, less cash and cash equivalents. Capital refers to equity attributable to the owners of the Company.

	2018 \$	2017 \$
Other payables and accruals (Note 14)	605,797	550,381
Amount due to related parties (Note 15)	220,948	231,936
Gross amount due to customers for contract work-in-progress (Note 16)	18,519	-
Less: Cash and cash equivalents (Note 13)	<u>(218,411)</u>	<u>(240,452)</u>
Net debt	<u>626,853</u>	<u>541,865</u>
Equity attributable to owners of the company	2,062,464	1,723,053
Capital and net debts	2,689,317	2,264,918
Gearing ratio	23%	24%

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21. Financial risk management objectives and policies

The Company's activities expose it to a variety of financial risks including credit risk, liquidity risk and foreign exchange risk.

a) Credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Company's exposure to credit risk arises primarily from trade and other receivables. For other financial assets (including cash and short term deposits), the Company minimise credit risk by dealing exclusively with high credit rating counterparties.

The Company manages its credit risk by monitoring the aging of its trade receivables on an on-going basis. Information regarding the aging of financial assets that are either past due or impaired are disclosed in Note 12 to the financial statements.

At the statement of financial position date, the Company's maximum exposure to credit risk is represented by the carrying amount of each class of financial assets recognised in the statement of financial position. The Company has no significant concentrations of credit risk.

b) Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting financial obligations due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of stand-by credit facilities.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018***21. Financial risk management objectives and policies (continued)****b) Liquidity risk (continued)**

The table below summarises the maturity profile of the Company's financial liabilities at the statement of financial position date based on contractual undiscounted payment.

	One year or less S\$	One to five years S\$	More than five years S\$	Total S\$
2018				
Financial assets:				
Trade and other receivables	1,867,806	-	-	1,867,806
Amount due from related parties	256,451	-	-	256,451
Cash and cash equivalents	218,411	-	-	218,411
	<u>2,342,668</u>	<u>-</u>	<u>-</u>	<u>2,342,668</u>
Financial liabilities:				
Other payables	127,089	-	-	127,089
Gross amount due to customers for contract work-in-progress	18,519	-	-	18,519
Amount due to related parties	220,948	-	-	220,948
	<u>366,556</u>	<u>-</u>	<u>-</u>	<u>366,556</u>
Total net undiscounted financial assets	<u>2,129,687</u>	<u>-</u>	<u>-</u>	<u>2,129,687</u>
2017				
Financial assets:				
Trade and other receivables	1,100,848	-	-	1,100,848
Amount due from related parties	425,209	-	-	425,209
Cash and cash equivalents	240,452	-	-	240,452
	<u>1,766,509</u>	<u>-</u>	<u>-</u>	<u>1,766,509</u>
Financial liabilities:				
Other payables	127,588	-	-	127,588
Amount due to related parties	231,936	-	-	231,936
	<u>359,524</u>	<u>-</u>	<u>-</u>	<u>359,524</u>
Total net undiscounted financial assets	<u>1,406,985</u>	<u>-</u>	<u>-</u>	<u>1,406,985</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018***21. Financial risk management objectives and policies (continued)**

c) Foreign exchange risk

The Company has various currency exposures arising from sales or purchases that are denominated in a currency other than the functional currency of the Company. The currency giving rise to this risk is primarily the United States Dollars and Euro Dollars. The Company monitors its net exposure to these foreign currencies to ensure that it remains insignificant.

The Company's currency exposure is as follows:

	<u>United States Dollar</u>	<u>Euro Dollar</u>	<u>Singapore Dollar</u>	<u>Total</u>
2018				
Trade and other receivables	-	-	1,867,806	1,867,806
Cash and cash equivalents	-	-	218,411	218,411
Amount due from related parties	135,700	4,252	116,499	256,451
Other payables and accruals	-	-	(605,797)	(605,797)
Gross amount due to customers	-	-	(18,519)	(18,519)
for contract work-in-progress				
Amount due to related parties	(41,224)	(2,422)	(177,302)	(220,948)
	<u>94,476</u>	<u>1,830</u>	<u>1,401,098</u>	<u>1,497,404</u>

	<u>United States Dollar</u>	<u>Euro Dollar</u>	<u>Singapore Dollar</u>	<u>Total</u>
2017				
Trade and other receivables	-	-	1,100,848	1,100,848
Cash and cash equivalents	-	-	240,452	240,452
Amount due from related parties	120,944	-	304,265	425,209
Other payables and accruals	-	-	(550,381)	(550,381)
Amount due to related parties	(41,224)	(2,422)	(188,290)	(231,936)
	<u>79,720</u>	<u>(2,422)</u>	<u>906,894</u>	<u>984,192</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2018*

21. Financial risk management objectives and policies (continued)

c) Foreign exchange risk (continued)

Sensitivity analysis for foreign currency risk

The following table demonstrates the sensitivity to a reasonably possible change in the US dollar and Euro dollar (against SGD), with all other variables held constant, of the Company's profit after tax.

	2018	2017
	\$	\$
US dollar		
- Strengthened 3% (2017: 3%)	2,352	1,985
- Weakened 3% (2017: 3%)	(2,352)	(1,985)
Euro dollar		
- Strengthened 3% (2017: 3%)	46	(60)
- Weakened 3% (2017: 3%)	(46)	60

22. Authorisation of financial statements

The financial statements were authorised for issue in accordance with a resolution of Board of Directors on 13 July 2018.